AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Clear Secure

2 July 2026 · the qualitative

$55.66

NYSE : YOU · Mature-Company DCF

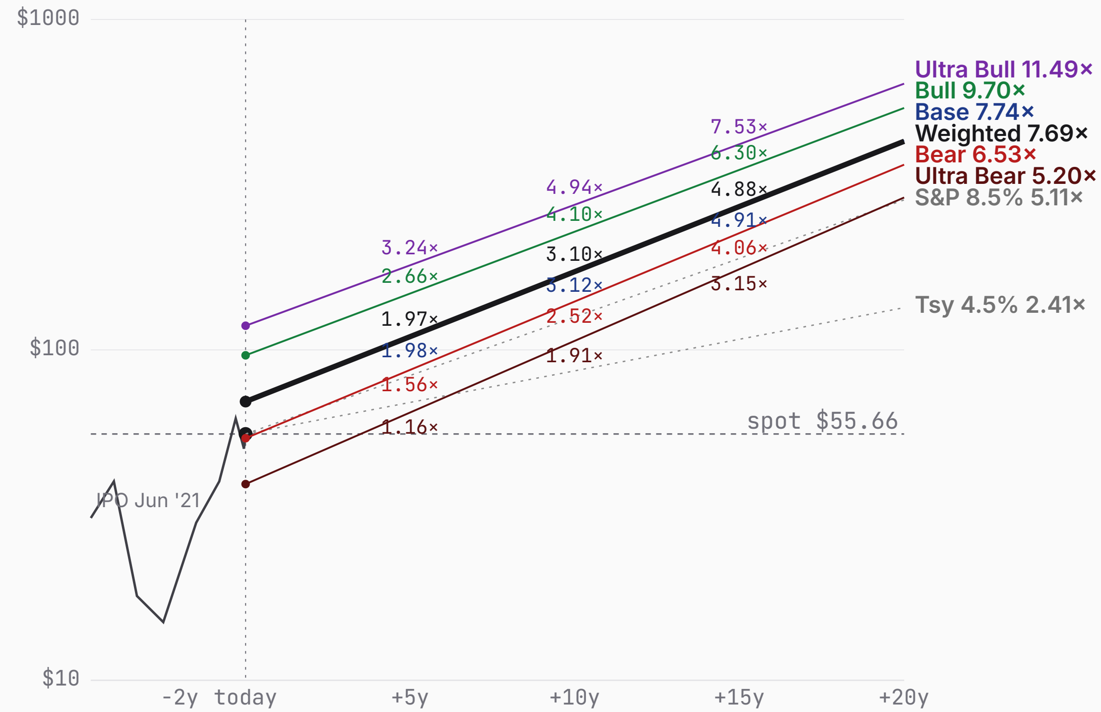
$5.29B mkt cap · 95M sh · $800M cash, zero debt · Net cash ~$0.80B (~$171M cash + ~$629M marketable securities), no debt; ~95M economic shares (estimate); Revenue $0.901B FY25 (+19.7% in Q1'26); GAAP op margin 20.7%; FCF ~$0.30B (~30% margin) off the deferred-revenue model; ~$50, YTD ~+55% / TTM ~+41% (52-wk $24.06-$62.73); ~13x EV/FCF; quarterly + special dividend + buyback

THE CENTRAL QUESTION

Is Clear Secure a maturing airport-lane subscription decelerating to terminal growth, or a horizontal identity-verification network expanding past the airport?

Clear Secure trades at ~$4.77B (~$50.25, up ~55% YTD / ~41% TTM) — about 13x EV/FCF on $0.901B revenue growing ~20%, with a deferred-revenue membership model that throws off a ~30% FCF margin, net cash ~$0.80B and no debt; capital return is aggressive. The fork the DCF resolves: airport CLEAR Plus saturating against a US frequent-flyer ceiling (with TSA's own free touchless ID commoditizing the lane) versus the identity platform — TSA PreCheck enrollment, biometric eGates, enterprise verification — extending the network. The modal case lands ~+40%, so the distribution leans to cheap quality.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



PROBABILITY-WEIGHTED EXPECTED VALUE

$69.76 expected fair value today
+25.3% vs spot $55.66

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$109.70	$172.60	$271.70	$427.95
1.97× spot	3.10× spot	4.88× spot	7.69× spot

WEIGHTING RATIONALE

Ultra Bear 14% Airport saturates; TSA commoditizes; ~$39 (-22%).
Bear 27% Members grow slowly; platform optional; ~$54 (+8%).
Base 34% Members compound; platform carries; ~$70 (+40%).
Bull 17% Identity platform second act; ~$96 (+92%).
Ultra Bull 8% Horizontal identity network; ~$118 (+136%).

Bull (17%) + Ultra Bull (8%) together contribute $25.84 — 37% of the $69.76 expected value despite 25% combined probability. Today's spot ($55.66) sits 20% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$39.26	$54.04	$70.11	$96.30	$118.35
-29.5% vs spot	-2.9% vs spot	+26.0% vs spot	+73.0% vs spot	+112.6% vs spot
CAGR +2.4% WACC 10.5%	CAGR +6.2% WACC 10.0%	CAGR +9.8% WACC 9.5%	CAGR +13.2% WACC 9.0%	CAGR +16.2% WACC 8.8%
CAGR +2.4% Prob 14%	CAGR +6.2% Prob 27%	CAGR +9.8% Prob 34%	CAGR +13.2% Prob 17%	CAGR +16.2% Prob 8%
Airport saturates; TSA commoditizes the lane.	Members grow slowly; platform stays optional.	Members compound; platform begins to carry.	Identity platform becomes the second act.	Horizontal identity network; platform re-rate.

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Clear Secure scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected $69.76 (+25.3% vs spot)

ULTRA BEAR $39.26

-29.5% vs spot

Probability 14%

Airport saturates; TSA commoditizes the lane.

WHY 14%

The genuine bear: CLEAR Plus growth already decelerated to +13% while total members grew +31%, and TSA owns the airport checkpoint and is fielding its own biometric ID. 14% weight on saturation plus regulatory commoditization.

WHAT HAPPENS

CLEAR Plus hits the US frequent-flyer ceiling and TSA's own free touchless-ID rollout commoditizes the value prop: active members flatten, pricing power fades, and the platform never carries the load. Revenue creeps ~2-3%/yr and FCF margin slips toward ~24% as growth spend persists against a stalled base.

A maturing single-product subscription that has stopped compounding earns a low-growth, ~11x EV/FCF terminal -> DCF ~$39 (-22%). Net cash sets a floor but can't offset a saturated airport network.

BEAR $54.04

-2.9% vs spot

Probability 27%

Members grow slowly; platform stays optional.

WHY 27%

Lane growth and pricing continue but the platform doesn't inflect; a durable cash machine that decelerates toward terminal growth. 27% as the plausible 'compounds slowly' path.

WHAT HAPPENS

Membership keeps adding at a decelerating pace on price and modest lane growth, but the identity platform (PreCheck, eGates, enterprise) stays a small adjacency rather than a second engine. Revenue compounds ~6% to ~$1.2B at a steady ~28-30% FCF margin.

DCF ~$54 (+8%) — a high-margin, net-cash subscription that grows but doesn't break out is worth modestly above today's price; most of the return is the FCF yield plus capital return, not re-rating.

BASE $70.11

+26.0% vs spot

Probability 34%

Members compound; platform begins to carry.

WHY 34%

Requires continued member/pricing growth and the platform beginning to carry (PreCheck, eGates) — consistent with Q1 bookings +41% and the raised FCF outlook, not a step-change. 34% as the central outcome.

WHAT HAPPENS

The modal path: CLEAR Plus keeps adding members at ~13% with pricing, eGates roll past 50% of the network, the new TSA PreCheck enrollment channel scales, and the platform starts contributing — blending to ~10% revenue growth at a defended ~30%+ FCF margin. Revenue compounds toward ~$1.4B.

DCF ~$70 (+40%) — a ~20%-FCF-margin compounder at ~15x EV/FCF, net cash, returning capital, is mispriced if the modal case plays out; this is the core of the finding.

BULL $96.30

+73.0% vs spot

Probability 17%

Identity platform becomes the second act.

WHY 17%

The platform optionality is real and observable (3rd authorized PreCheck enroller, eGates >50% of airports, CLEAR Plus opened to 40+ more countries, enterprise verification). ~17% weight on it becoming a second engine.

WHAT HAPPENS

The platform expansion lands: CLEAR's enrolled biometric identity becomes a horizontal verification layer beyond airport lanes — PreCheck enrollment at scale, eGates across the network, stadiums and enterprise/everyday identity verification — so the platform segment grows into a real second revenue stream on top of the membership base. Revenue compounds ~13% to ~$1.7B at a ~33% FCF margin.

DCF ~$96 (+92%) — if the enrolled-identity network extends past airports, it re-rates toward a platform multiple; this is the genuine ultra_bull second act, not a lift to the airport business.

ULTRA BULL $118.35

+112.6% vs spot

Probability 8%

Horizontal identity network; platform re-rate.

WHY 8%

Everything works — members AND pricing AND a horizontal identity platform AND a multiple re-rate. ~8%, the long-duration tail on the network becoming the verification standard.

WHAT HAPPENS

The full second act: the enrolled biometric identity becomes the default verification rail across travel, venues and enterprise, the platform out-scales the airport base, and CLEAR re-rates to a network-platform multiple at a peak ~36% FCF margin. Revenue compounds ~16% to ~$1.9B.

DCF ~$118 (+136%) — the enrolled-identity network compounds as a horizontal platform; ~8% probability, the asymmetric upside the entry is buying.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

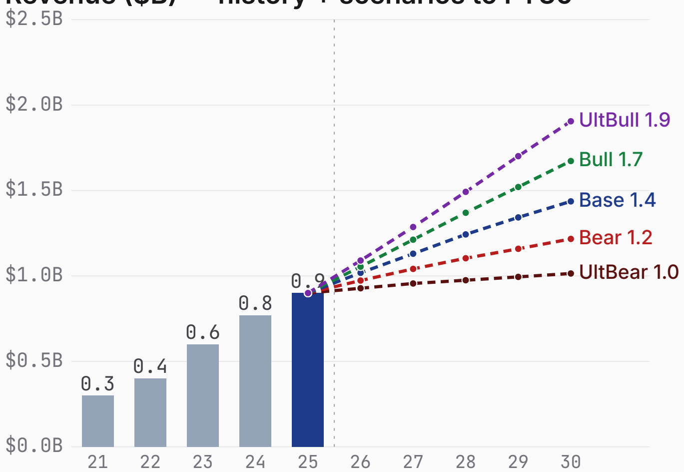
2 July 2026 · the snapshot

Clear Secure business snapshot

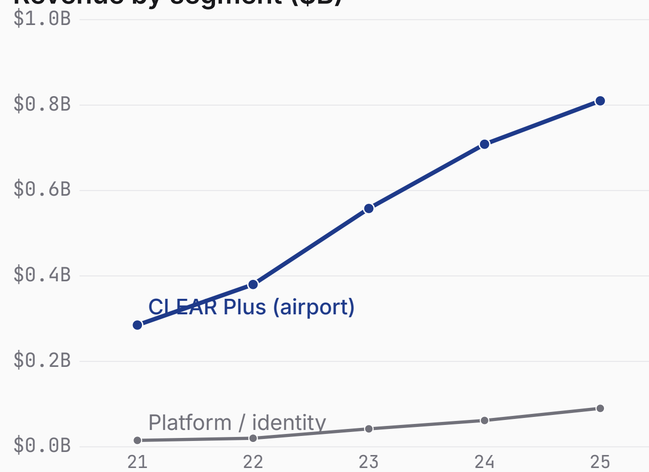
Bear $54.04 Base $70.11 Bull $96.30

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 results

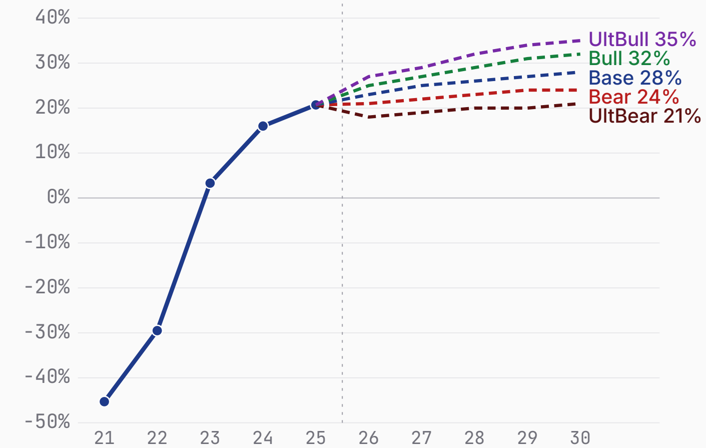
Revenue ($B) — history + scenarios to FY30



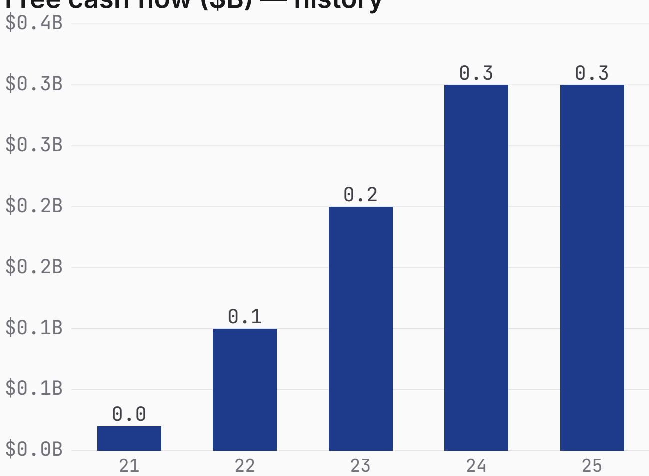
Revenue by segment ($B)



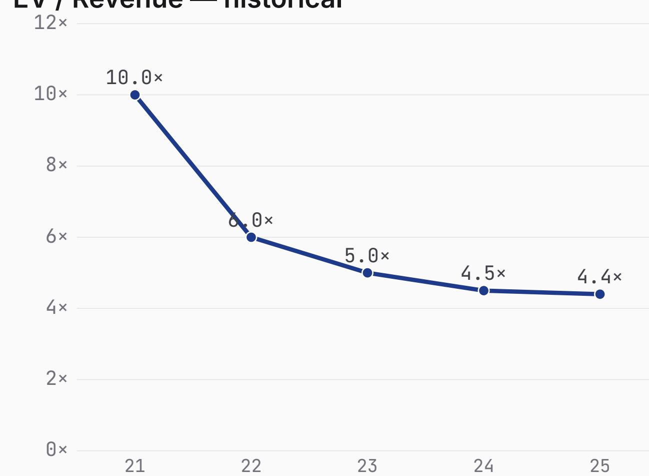
Op margin — history + scenarios



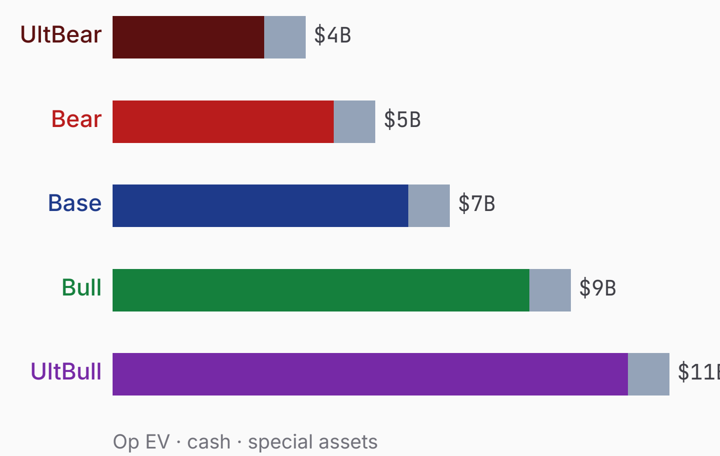
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 1856314), Clear Secure Q1 FY2026 release (revenue $253.0M/+19.7%, total CLEAR Members 40.99M/+31.3%, active CLEAR Plus 8.17M/+13.0%, FCF $185.5M/+103%, total bookings $291.7M/+40.8%). FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs subscription/identity peers. Caveats: ~95M economic share count is an estimate (XBRL untagged); net cash ~$0.80B; dual-class governance gives the founder voting control.

Clear Secure 7 Powers · the moat, scored

Bear $54.04 Base $70.11 Bull $96.30

Arena. Identity verification / expedited airport security — Clear Secure (CLEAR Plus lanes + an enrolled biometric identity network, ~$0.9B revenue) vs TSA PreCheck (and TSA's own free touchless ID), Idemia/airport biometrics, and identity-verification platforms (Okta, Onfido, Yoti, government eID); auditing switching costs + a cornered-resource identity network against saturation and regulatory commoditization.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies
Enrollment/marketing leverage over a ~41M-member base, but airport infrastructure spend is real and the absolute scale is small.

Network Economies
More enrolled identities make CLEAR more useful to venues/partners, but it is one-sided (users, not a true two-sided market) — emerging, not dominant.

Counter-Positioning
Was the consumer-paid fast-lane disruptor; now the incumbent, and TSA's free touchless ID counter-positions the paid value prop.

Switching Costs
A dominant Power: enrolled biometrics + the renewing membership habit make re-enrolling elsewhere a friction, sticky once a frequent flyer is in the network.

Branding
Recognized travel brand (the visible airport lanes), but it is a convenience brand, not pricing-power-defining the way a premium consumer brand is.

Cornered Resource · thesis leans here
The other dominant Power: the enrolled biometric identity dataset + secured airport real-estate footprint — hard for a new entrant to replicate, though contingent on airport/TSA contracts.

Process Power
Biometric enrollment + verification operations and the deferred-revenue engine; real but replicable.

PEER SET

TSA PreCheck (incl. free touchless ID) · government
The government incumbent at the checkpoint; its own free biometric ID is the central commoditization threat to the paid lane.

Idemia / airport biometrics · private
Supplies biometric checkpoint hardware/ID to TSA and airports; an infrastructure competitor to CLEAR's lane economics.

Okta 13% gr · 22% mgn · ~30x EV/FCF
Enterprise identity/verification platform; the comp if CLEAR's platform becomes a horizontal identity layer, and a margin/multiple benchmark.

Onfido / Yoti / government eID · private
Identity-verification challengers and national digital-ID schemes; pressure on the platform's everyday-verification ambition.

THREAT VECTORS · FALSIFIERS

Cornered Resource · TSA's own free touchless ID
falsifier: CLEAR Plus active-member growth decays toward flat as the free government biometric lane commoditizes the paid value prop.

Switching Costs · US frequent-flyer saturation
falsifier: The addressable frequent-flyer base is exhausted; net active CLEAR Plus members plateau despite pricing.

Network Economies · Identity-verification platforms (Okta/Onfido/government eID)
falsifier: The platform/identity segment stays an immaterial adjacency while rivals own enterprise/everyday verification.

COMPETITIVE READ

Clear Secure's Powers are switching costs (an enrolled biometric identity + the renewing membership habit) and a cornered resource (the enrolled-identity dataset + secured airport footprint) — genuine but airport-contingent. The Audit: the cornered resource is durable (medium) only as long as the airport network holds and the platform extends it; the live threats are US frequent-flyer saturation and, more pointedly, TSA's own free touchless ID commoditizing the paid lane. That fork drives the terminal growth rate, and the DCF prices both sides — a saturating single-product subscription in the ultra-bear (-22%) against a horizontal identity network in the bull/ultra-bull (+92% / +136%). The modal case has members compounding while the platform begins to carry (+40%), so a ~30%-FCF-margin, net-cash, capital-returning compounder at ~13x EV/FCF screens as cheap quality despite the YTD run. Standing caveats on any per-share read: dual-class governance (founder voting control over minority economic holders) and a ~95M economic share count that is an estimate.

Clear Secure show your work

Bear $54.04 Base $70.11 Bull $96.30 · Weighted $69.76 (+25.3%)

ULTRA BEAR $39.26

ASSUMPTIONS

5y revenue CAGR (%)	+2.4
Year-5 op margin (%)	21.0
WACC (%)	10.5
Terminal growth (%)	2.0
Terminal FCF ($B)	$0.27B
Starting revenue ($B)	0.90
Scenario probability (%)	14

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.93	+18%	+0.22	+0.20
FY27	0.96	+19%	+0.24	+0.20
FY28	0.97	+20%	+0.25	+0.19
FY29	0.99	+20%	+0.26	+0.17
FY30	1.01	+21%	+0.27	+0.17

Σ PV explicit FCF	**+0.93**
+ PV terminal (g 2.0%)	2.00

EQUITY BUILD · $B & PER SHARE

Operating EV	$2.93B
+ Cash & investments	$0.80B
= Equity value	**$3.73B**
FY30 shares (M)	95
= Expected per share	**$39.26**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$64.68	$106.55	$175.54	$289.20
1.16×	1.91×	3.15×	5.20×

BEAR $54.04

ASSUMPTIONS

5y revenue CAGR (%)	+6.2
Year-5 op margin (%)	24.0
WACC (%)	10.0
Terminal growth (%)	2.5
Terminal FCF ($B)	$0.36B
Starting revenue ($B)	0.90
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.97	+21%	+0.26	+0.24
FY27	1.04	+22%	+0.29	+0.24
FY28	1.10	+23%	+0.32	+0.24
FY29	1.16	+24%	+0.35	+0.24
FY30	1.22	+24%	+0.36	+0.23

Σ PV explicit FCF	**+1.18**
+ PV terminal (g 2.5%)	3.10

EQUITY BUILD · $B & PER SHARE

Operating EV	$4.28B
+ Cash & investments	$0.80B
= Equity value	**$5.08B**
FY30 shares (M)	94
= Expected per share	**$54.04**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$87.03	$140.17	$225.74	$363.55
1.56×	2.52×	4.06×	6.53×

BASE $70.11

ASSUMPTIONS

5y revenue CAGR (%)	+9.8
Year-5 op margin (%)	28.0
WACC (%)	9.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$0.46B
Starting revenue ($B)	0.90
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.02	+23%	+0.29	+0.27
FY27	1.13	+25%	+0.34	+0.28
FY28	1.24	+26%	+0.39	+0.29
FY29	1.34	+27%	+0.43	+0.30
FY30	1.44	+28%	+0.46	+0.29

Σ PV explicit FCF	**+1.44**
+ PV terminal (g 2.5%)	4.28

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.72B
+ Cash & investments	$0.80B
= Equity value	**$6.52B**
FY30 shares (M)	93
= Expected per share	**$70.11**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$110.37	$173.75	$273.52	$430.59
1.98×	3.12×	4.91×	7.74×

BULL $96.30

ASSUMPTIONS

5y revenue CAGR (%)	+13.2
Year-5 op margin (%)	32.0
WACC (%)	9.0
Terminal growth (%)	3.0
Terminal FCF ($B)	$0.57B
Starting revenue ($B)	0.90
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.05	+25%	+0.33	+0.30
FY27	1.21	+27%	+0.39	+0.33
FY28	1.37	+29%	+0.45	+0.35
FY29	1.52	+31%	+0.52	+0.37
FY30	1.67	+32%	+0.57	+0.37

Σ PV explicit FCF	**+1.71**
+ PV terminal (g 3.0%)	6.35

EQUITY BUILD · $B & PER SHARE

Operating EV	$8.06B
+ Cash & investments	$0.80B
= Equity value	**$8.86B**
FY30 shares (M)	92
= Expected per share	**$96.30**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$148.17	$227.98	$350.77	$539.70
2.66×	4.10×	6.30×	9.70×

ULTRA BULL $118.35

ASSUMPTIONS

5y revenue CAGR (%)	+16.2
Year-5 op margin (%)	35.0
WACC (%)	8.8
Terminal growth (%)	3.0
Terminal FCF ($B)	$0.69B
Starting revenue ($B)	0.90
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.09	+27%	+0.35	+0.32
FY27	1.29	+29%	+0.44	+0.37
FY28	1.49	+32%	+0.52	+0.41
FY29	1.70	+34%	+0.61	+0.44
FY30	1.91	+35%	+0.69	+0.45

Σ PV explicit FCF	**+1.98**
+ PV terminal (g 3.0%)	7.99

EQUITY BUILD · $B & PER SHARE

Operating EV	$9.97B
+ Cash & investments	$0.80B
= Equity value	**$10.77B**
FY30 shares (M)	91
= Expected per share	**$118.35**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$180.43	$275.08	$419.37	$639.36
3.24×	4.94×	7.53×	11.49×

Clear Secure People · Opportunity · Context · Deal

Bear $54.04 Base $70.11 Bull $96.30

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Caryn Seidman-Becker · founder-led — 16 yrs in seat

20.4% insider ownership

MEDIUM key-person risk

Capital allocation (realized)
Founder-operator: Seidman-Becker has been Chair & CEO since acquiring the assets and rebuilding the company in 2010 (with co-founder Ken Cornick), through the 2021 IPO to today. Capital allocation is shareholder-friendly for the category — a net-cash, FCF-positive (~30% FCF margin) business that pays a dividend and buys back stock while reinvesting in the identity network.

Incentive alignment
The founders' economic stake (~20% of the company as a group) is the dominant alignment lever, reinforced by the dividend and buyback. The flip side is control: the same founders hold ~82.8% of the votes through super-voting shares — alignment on economics, but a wide gap between voting power and economic ownership.

GOVERNANCE FLAGS

- four-class structure with 20-vote super-voting (Class B and Class D = 20 votes each); Class A and C = 1 vote
- Class D carries 20 votes but NO economic rights — a pure voting-control leg of the Up-C structure
- founders hold ~82.8% of combined voting power on ~20% economic ownership — a large vote/economics gap
- NYSE "controlled company" (uses exemptions) though Audit/Compensation/Nominating committees are run fully independent in practice
- combined Chair & CEO; directors elected annually (board is not staggered)

THE FOUR LEGS

People (2 of 5)
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the +38.8% finding) + position sizing.

> **PEOPLE READ**
> A genuine founder-operator with real economic alignment (~20% stake) running a net-cash, FCF-positive, capital-returning business — the positives. But the governance sits in the most-entrenched tier: a four-class, 20-vote super-voting structure gives the founders ~82.8% of the votes on ~20% of the economics (Class D even carries votes with no economic rights), the company is an NYSE controlled company, and the Chair/CEO roles are combined. The vote/economics decoupling, not the operator quality, drives the score.

Clear Secure supporting analysis · disclaimers · glossary

Bear $54.04 Base $70.11 Bull $96.30

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **~13x EV/FCF for a ~30%-margin, net-cash compounder.**
A deferred-revenue model throwing off ~30% FCF margin, growing ~20%, net cash, returning capital — cheap for the quality; the modal DCF is +40%.

2 **The deferred-revenue model is the FCF engine.**
Members pay upfront, so bookings (+41% in Q1) lead revenue and FCF (~$186M, +103% YoY) runs ahead of GAAP — the cash machine is the asset.

3 **Saturation is the real bear, not solvency.**
Net cash, no debt, ~30% FCF margin — no survival risk; the downside is a US frequent-flyer ceiling plus free TSA touchless ID, i.e. terminal growth.

4 **The platform is a genuine second act.**
3rd authorized TSA PreCheck enroller, eGates in 30+ airports (>50% of the network) — the identity network expanding beyond airport lanes.

5 **Dual-class governance is a flag.**
Founder voting control over minority economic holders, plus a ~95M economic share count that is an estimate (XBRL untagged) — a caveat to size against.

FALSIFICATION TRIGGERS

Bull validation

platform/identity revenue scales as a distinct stream · PreCheck enrollment + eGates ramp network-wide · enterprise/everyday verification wins land · CLEAR Plus active members re-accelerate above mid-teens

Bear validation

CLEAR Plus active-member growth decays toward flat · TSA's free touchless ID rolls out broadly and pricing power fades · platform revenue stays an immaterial adjacency · bookings growth converges down to revenue growth

Reframe needed

if the airport network saturates and the platform never carries, re-rate the terminal toward a low-growth single-product subscription; the dual-class governance + estimated share count are standing per-share caveats

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

CLEAR Plus — The paid airport-security membership (~8.17M active, +13%) that gives expedited identity verification in airport lanes — the core, mature revenue base and the saturation question.

Total CLEAR Members — All enrolled identities (~40.99M, +31%), most free, spanning airports, venues and the platform — the top of the funnel CLEAR aims to convert and monetize via the identity network.

Deferred revenue / bookings — Members prepay, so cash bookings (~$291.7M, +41%) are collected ahead of recognized revenue — the mechanism behind the ~30% FCF margin and FCF running ahead of GAAP.

TSA PreCheck / eGates — Government expedited-screening enrollment (3rd authorized provider) and biometric airport gates (>50% of the network) — the rails the identity platform expands through beyond lanes.

FCF margin — Free cash flow / revenue (~30% FY25, lifted by deferred-revenue prepayment); the mature-DCF swing factor — whether membership and the platform sustain ~30% cash conversion at scale.